

How sales and marketing works

Advertising and marketing in the United States are regulated at both federal and state level. The Federal Trade Commission (FTC) sets national policies and enforces relevant laws passed by Congress.

The First Amendment to the US Constitution restricts the government's ability to limit or inhibit public speech or communication. However, courts over the years have ruled that commercial speech is subject to less protection than noncommercial speech.

The Federal Trade Commission (FTC) was established in 1914 through the Federal Trade Commission Act. Much of the FTC's work involves enforcing truth-in-advertising regulations, a legislative rubric that requires ads to be truthful, not misleading, and backed by scientific data if appropriate. In a case of suspected false advertising, the FTC can sue the perpetrator in federal court to obtain a cease-and-desist order, freeze assets, and obtain recompense for victims. A bill pending in Congress at the time of writing, the Truth In Advertising Act of 2014, would prevent marketers from using digital tools such as Adobe Photoshop to alter the appearance of models' bodies and faces in ads.

The FTC also enforces legislation aimed at electronic marketing communications, such as email campaigns and telemarketing. For example, the Commission can file suit against agencies suspected of violating the National Do Not Call Registry. Telemarketers are forbidden from calling consumers who have entered their numbers in the registry. Similarly, the FTC enforces the CAN-SPAM Act of 2003, which requires marketers to give consumers a means to opt out of receiving future messages.

The Federal Communications Commission (FCC) also has some authority to regulate commercial speech. For instance, the FCC enforces the CALM ACT of 2012, which stipulates that broadcasters and cable companies must air commercials at the same volume as regular programming.

Individual states can set marketing and advertising rules, particularly for highly regulated industries like health care, financial services, and real estate.

At the state level, the Better Business Bureau accepts and responds to complaints regarding companies doing business within state jurisdictions.

In Canada

Freedom of speech and expression in Canada is protected by Section Two of the Canadian Charter of Rights and Freedoms. As is the case in the US, commercial speech is afforded less protection than political or other types of expression. Still, the Charter places numerous limitations on the federal and provincial governments' ability to abridge marketing and advertising communications. For example, Canada's Supreme Court in *Ford v. Quebec* (1988) struck down a Quebec law that required all advertising signs to be in French.

Commercial speech in Canada is also governed by the Consumer Packaging and Labelling Act (1985). The law prohibits the use of misleading ads and claims on consumer goods.

Data protection

Unlike Europe, with its centralized Data Protection Directive, the US does not have a single, overarching law on data protection. Rather, Congress has passed a series of laws that together form a framework around the safeguarding of consumers' privacy and information. Many of these rules are directed at particular industries. For example, the Department of Health and Human Services enforces the Health Insurance Portability and Accountability Act of 1996 (HIPAA). The Act dictates the administrative, physical,